

Document 7: S7 — FII/FPI Flow & Institutional Momentum (*Enhancement Tier*)

1) Overview

- Code: S7
- Tier: 3 (Enhancement)
- Role: Analyze **FII/FPI behavior** to understand **institutional intent, rotation, and hidden accumulation**
- Score Type: Additive / deductive (no fixed max, but typically ± 5 impact)
- Status: ☒ Approved
- Precedence: Applied after Tier 2 core score
- Key Nature:
 - ☒ Boosts conviction
 - ☒ Does NOT override hard gates (S1, S5=0)

2) Core Philosophy (Important Correction You Made)

"FII net buy/sell alone is misleading"

Why?

- FIIs:
 - Hedge positions using derivatives
 - Rotate between sectors
 - Do index management
- So:
 - **Net Buy $\neq$ Bullish Next Day**
 - **Net Sell $\neq$ Bearish Next Day**

 Therefore, S7 focuses on **structure behind the flow**, not just the number.

3) S7 Structure (Components)

S7 has 4 core analytical blocks:

1. C1 — Net vs Gross Flow Analysis
2. C2 — Rotation & Positioning Logic
3. C3 — Sector & Stock Selection Behavior
4. C4 — Consolidation Accumulation Thesis

C1) Net vs Gross Flow Analysis

What you analyze:

- Net Buy/Sell
- Gross Buy
- Gross Sell

✓ Key Observations (Your Approved Logic)

Case 1: High Gross Buy + High Gross Sell + Low Net

- Interpretation:
 - Fills are **rotating** or closing positions
 - NOT directional
 - Impact: **Neutral / Slight Negative**
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Case 2: High Gross Buy + Moderate Sell + Strong Net Buy

- Interpretation:
 - Real accumulation
 - Impact: ✓ **Positive**
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Case 3: High Gross Sell + Low Net Difference

- Interpretation:
 - Distribution / rotation
- Impact: ⚠ **Caution**

✓ S7 Scoring (C1)

- Strong directional flow → +2
 - Mixed / rotational → 0
 - Distribution heavy → -1 to -2
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C2) Rotation & Positioning Logic

Purpose

To detect sector rotation vs directional build-up

✓ Your Approved Rule:

If buying & selling both high but net small → sector rotation / position shifting

✓ Key Signals

- Capital moving across sectors (e.g., IT → Banking)
- Not strong index direction but **stock-specific moves**

✓ Interpretation

Scenario	Meaning	Impact
Balanced buy/sell	Rotation	Neutral
Consistent buying across days	Position build-up	Positive
Selling dominating rotation	Risk-off	Negative

✓ S7 Scoring (C2)

- Clear accumulation trend → +2
 - Rotation → 0
 - Distribution → -1
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C3) Sector & Stock Selection Behavior

✓ Your Approved Assumptions

1. FII's prefer:
 - Nifty 50 / Nifty 100 stocks ✓
 2. They buy:
 - Beaten-down sectors ✓
 - Quality stocks within those sectors ✓
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✓ Practical Logic

- If FII buying aligns with:
 - Sector bottoming
 - Relative underperformance earlier → ✓ Early reversal signal
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✓ Scoring (C3)

- Buying in beaten-down sectors → +2
 - Buying already extended sectors → 0
 - Selling beaten-down sectors → -1
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C4) Consolidation Accumulation Thesis (Your Key Insight)

"FIll accumulate during consolidation to hide positions"

What you look for:

- Price:
 - Sideways / range-bound
- Volume:
 - Gradually rising
- Delivery:
 - Stable or increasing
- FIll:
 - Consistent buying over days/weeks.

✓ Interpretation

Behavior	Meaning
Quiet accumulation	Smart money entering
Breakout after consolidation	Start of move

✓ Scoring (C4)

- Clear accumulation → +2
- Unclear → 0
- Distribution → -1

4) ROC Integration (Cross-Time Analysis)

You raised this correctly:

"Are we comparing across weekly, monthly, 3M, 6M?"

 **Yes — S7 integrates ROC across periods:**

- 1 Week
- 1 Month
- 3 Month
- Optional: 6 Month

 **Interpretation**

- Rising ROC across periods → **momentum building**
- Divergence → **unstable trend**

5) Final S7 Impact Summary

S7 does not have fixed max like S6, but typical effect:

- +4 to +5: Strong institutional tailwind 
 - +2 to +3: Supportive
 - 0: Neutral (ignore)
 - -2 to -3: Warning signal 
 - <-3: Strong distribution 
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6) Interaction with Core Modules

With S6 (Volume/Delivery)

- Best combo:
 - S6 strong + S7 strong → **confirmed institutional activity**
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✓ With S2 (OB Zones)

- Fill buying at OB zones = **high conviction reversal**
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✓ With S5 (Structure)

- Strong S7 can boost S5=4–6 setups
 - But ✗ cannot override:
 - S5 = 0 (hard block)
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✓ With Your Key Thesis

- Fills:
 - Use cash market for **swing trades**
 - Prefer **liquid stocks (Nifty 100)** ✓
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7) Practical Example (Based on Your Logic)

Scenario:

- FII's net buy small
- Gross buy = very high
- Gross sell = high
- Sector rotation visible
- IT sector delivery rising (like your 19th May observation)

Interpretation:

- Not directional
 - Likely **rotation** + **selective accumulation**
 - → Wait for:
 - S2 + S4 + S5 confirmation
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8) What S7 Prevents

- Blindly following "Fill net buy"
 - Misreading hedging activity
 - Entering at wrong phase (late momentum)
 - Ignoring rotation dynamics
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9) Final Practical Rule (Important)

✅ Use S7 as CONTEXT, not TRIGGER

- It answers: 👉 "Is smart money supportive?"
 - It does NOT answer: 👉 "Should I enter now?"
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